



Hamilton School for
Classical and Civic Education
UNIVERSITY *of* FLORIDA

Pareto Reads Marx

*A Scientific Critique of Capital — Vilfredo
Pareto's 1897 Introduction to Le Capital
ISS 2440, Intro to PPEL*

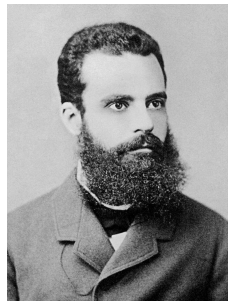
Louis Rouanet

Fall 2026

UF | Who is Vilfredo Pareto?

- ▶ Italian engineer-turned-economist (1848–1923); successor to **Léon Walras** at Lausanne — a founder of **marginalist** economics.
- ▶ He gives us “**Pareto efficiency**” and “**Pareto’s Law**” — the latter a power law of income distribution, drawn from exactly the kind of data Marx waved at.
- ▶ A hard-edged **classical liberal**, hostile to State favors to rich *and* poor alike: a **hostile witness**, not a sympathizer.
- ▶ His tool is **marginal use-value** (Walras–Menger) — the lever that exposes where Marx’s value theory breaks.

He wrote the introduction to a French volume of extracts from Capital — and read Marx closely, on his own terms.



Vilfredo Pareto (1848–1923)



Léon Walras — his predecessor

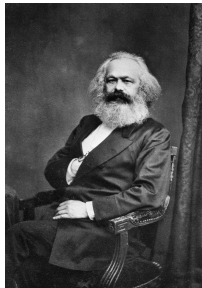
The polemical method

Condemn a doctrine *en bloc*; exaggerate its defects into “a weapon of war”; glide past whatever truth it holds.

The scientific method — “the only one worthy of the name”

Separate the truth from the error. Find a defect, correct it, then ask whether the **remainder** still holds truth worth keeping.

Pareto's charge: “Marx often employed the first method against liberal economics — but he was wrong to do so, and **one must take good care not to imitate him.**”



Karl Marx (1818–1883)

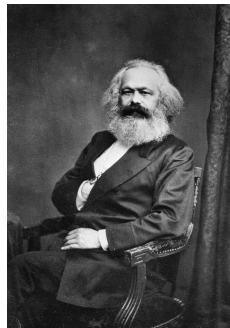
Our lens all lecture:

***grade Marx by the scientific method —
keep what survives, don't burn the book.***

- ▶ Positive science establishes relations **between things, not between words**. Arguing over what we *should* mean by “value” is philology, not economics.
- ▶ Ordinary language stores not just experience but **prejudices, sophisms, and an emotional charge** — long the richest source of error in the sciences.
- ▶ **Example.** In everyday speech “useful” is the opposite of “harmful” — yet **morphine** has real economic *utility*. The word’s emotional sense distorts the analysis.
- ▶ The word to watch all lecture: **“value” secretly carries the connotation of “wealth.”** Hold this — it is the hinge of Marx’s harm-to-workers claim (we cash it out shortly).

Pareto’s rule: use Marx’s own terms — but always ask, what REAL things do they point to?

- ▶ Marx blurs two different things:
 - capital simple** — a productive good (a tool, a machine);
 - capital approprié** — capital “functioning in the hands of capitalists,” a *social relation*.
- ▶ His real enemy is the **capitalist** (a person), not **capital** (a thing): so “Marx’s book ought to be entitled *The Capitalist* rather than *Capital*.”
- ▶ **Robinson Crusoe** on his island *had* capital — tools to make other goods — with **zero** money, markets, or commodity circulation.



Das Kapital — or
The Capitalist?

The agenda this opens

Is the capitalist **useless**? Can we “enjoy the work and suppress the one who performs it”? That is the whole debate.

“Is the capitalist harmful?” is an **ancient** question. What is original to Marx is his *answer* — and “what belongs properly to Marx **rests entirely on his theory of surplus-value.**”

Marx's own engine, read by colour

c = constant capital (past labour: machines, materials) **v** = variable capital (labour-power paid)
s = surplus-value (unpaid labour kept)

$$\text{Value} = \mathbf{c} + \mathbf{v} + \mathbf{s} \qquad \text{Profit} = \mathbf{s} = \text{unpaid labour}$$

*The whole indictment hangs on one thread: **if that theory contains a single logical flaw, the case collapses with it.** The next four frames aim straight at it.*

UF | Value is a relation — not a thing inside the object

- ▶ Marx puts value **inside** the commodity, like a chemical content (= embodied labour). Pareto: value is a **relation of suitability** between a good and a person — not a property like weight.
- ▶ **The water-and-watch test:** would you trade your watch for a barrel of water? Awash in water — no; dying of thirst — gladly. What changed is the **use-value of the water to you**, not the labour in it.
- ▶ So the labour embodied “**does not intervene to determine**” the rate of exchange at all.
- ▶ There is no single “exchange-value”; buyers reckon by the **marginal** (last) unit — the Menger–Walras insight Marx lacked.



Carl Menger



Léon Walras

marginal use-value

sets the exchange ratio

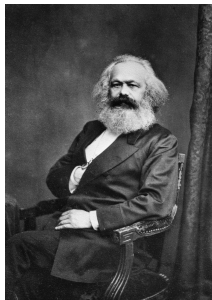
Petitio principii = assuming what you set out to prove.

The dilemma

“Value = embodied labour” is **either false to the facts, or a tautology** restating its premise. And if value equals *exactly* embodied labour, the capitalist can only be taking part of that labour — the theft was **assumed, not shown**.

- ▶ Change a few words in Marx and you “prove” the **opposite** — that value depends *solely on capital*, and “**labour usurps a part of the surplus-value created by capital.**”
- ▶ **Marx’s own words, read straight:** in *Capital* the boss buys a day of labour-power at its “daily value” — but a day’s upkeep costs only 3 hours, so working it the full day is, in Marx’s own sardonic phrase, “a piece of good luck” for the buyer, “and that is what makes him laugh.”
- ▶ **Pareto reverses it with a MACHINE:** he changes only **one word** — “labour” to “machine” — in that very same sentence. A seamstress rents a sewing machine for 30 c./day; 3 hours covers the rent *and* her keep; she runs it **6 hours** and pockets “the surplus-value created by the *machine*” — “and *that* is what makes her laugh.”

*The perfect symmetry shows Marx’s “proof” is just a **choice of which factor to spotlight** — the *petitio principii* made visible.*



“... and that is what makes her laugh.”

Classical economics — and Marx with it — assumed that **the cost of production determines exchange-value**; market price merely gravitates toward that fixed point.

Mill's classical picture

“When supply and demand govern the oscillations of value, they themselves obey a higher force that makes value gravitate around the cost of production — and would fix it there, but for new and continual disturbing causes.”

— J. S. Mill (quoted by Pareto)

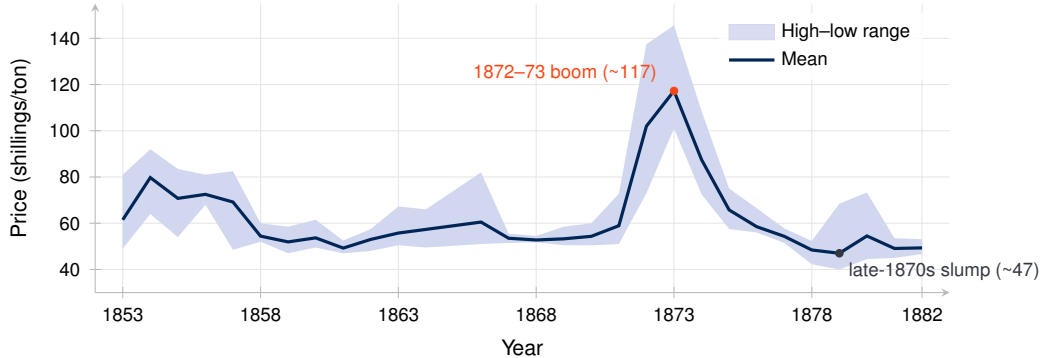
Pareto turns it around

“Modern economic doctrines establish that, on the contrary, it is the cost of production that depends on the exchange-value.”

i.e. causation runs the other way — **cost follows value**.

and the resting point Mill imagines never actually arrives — equilibrium “is a pure abstraction, which does not exist in nature.” (Next: 30 years of pig-iron prices.)

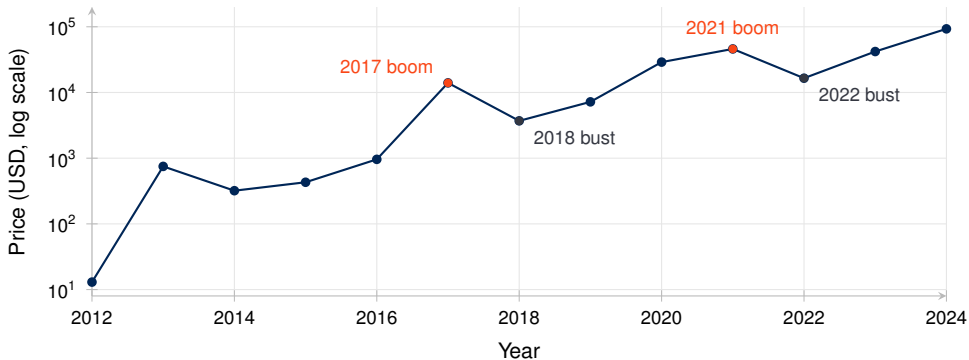
Source: Pareto, Introduction to Marx, *Le Capital* (1897), Section III (pp. XIX–XX).



Source: Pareto, Introduction to Marx, *Le Capital* (1897), n. 31 — Glasgow pig-iron warrant prices, 1853–1882.

*“We must reason on **real facts**, not on facts that exist only in our imagination.”*

Price orbits a **shifting** cost of production — never a fixed quantum of labour.



Source: approximate year-end BTC/USD, public market data; illustrative.

Production **cost** does not fix bitcoin's price. The reverse holds: when the price rises, more entrepreneurs rush to mine it, mining difficulty climbs, and **cost rises to meet the price**.

Cost follows value — Pareto's reversal of Mill, 125 years on. Bitcoin has no "resting" price any more than Glasgow pig-iron did.

- ▶ Grant the **whole** surplus-value thesis — it still would **not** show the capitalist harms the worker.
- ▶ Why: our well-being depends on the **use-values** of the goods we consume, *not* on exchange-values. (The illusion is “value” smuggling in the meaning “wealth” — recall Frame 4.)
- ▶ So a worker “**might have at his disposal a greater use-value than under another social system,**” even after yielding up exchange-value.
- ▶ To *complete* the indictment Marx needs **Lassalle’s iron law of wages** — that capitalism grinds the worker to bare subsistence. Only then has he “nothing to lose.”

Two holes in the harm conclusion

A **logical** one (use-value vs. exchange-value, this frame) and an **empirical** one (rising real wages) — which we test next, in Section IV.

- ▶ *Capital's* descriptive history is powerful, but its logic is “rather loose” — Marx links facts to conclusions by “an association of ideas . . . belonging to **emotion** rather than demonstration.”
- ▶ The recurring socialist fallacy: to prove evils are *caused* by capitalism, merely show they **coexist** with it. Coexistence is not causation.
- ▶ **Test of causation:** if capitalism were the cause, the effect should vanish when capitalism does — yet women and children are treated **worse** in pre-capitalist and primitive societies. “Should not the effect disappear with its cause? Yet we observe the contrary.”
- ▶ So misery “**is not the exclusive fruit of the capitalist system, since it exists in societies where that system does not exist.**” (Same for adulteration — and State-run industry is no cleaner: the French *régie's* matches “tend not to light.”)

*Cataloguing evils is not enough: you must **prove** another system would have lesser ones — “and this has not yet been done.”*

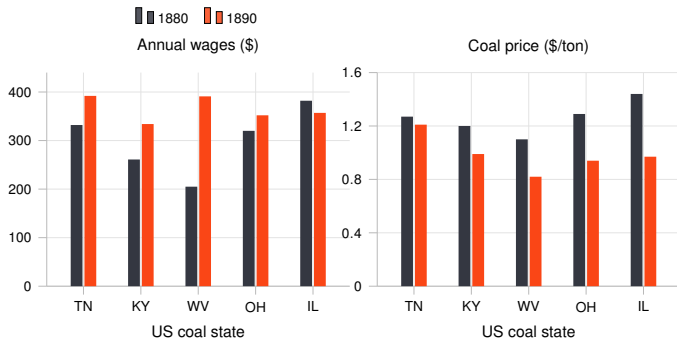


*Unskilled wages roughly **doubled** in 50 capitalist years — for exactly the workers the law doomed.*

Source: R. Giffen, *The Progress of the Working Classes* (1884); in Pareto (1897), n. 40.

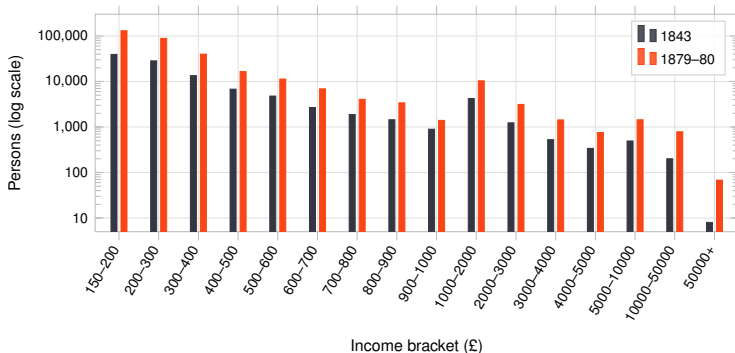
“Lassalle’s theory is **contradicted every day by the facts**”; Marx “was wrong to suppose pauperism would increase in England.”

UF Machinery raised wages *and* cut prices



US coal states, 1880→1890: annual wages mostly **rose** (West Virginia \$205→\$391); coal price/ton **fell** everywhere (Ohio \$1.29→\$0.94).

Honest exception: Illinois wages dipped (\$382→\$357).



Source: UK income-tax returns; in Pareto (1897), n. 40. **Every** bracket grew — about threefold overall (total taxpayers **106,637** → **320,162**), the very top fastest — so the lower ranks climb *into* the brackets, not out. (*Log scale; totals are Pareto's printed figures.*)

UF | The capitalist's four jobs — and the calculation problem

Can we keep the capitalist's **services** while abolishing the capitalist — “enjoy the work, suppress the one who performs it”? Someone must still:

1. **FORM** capital by abstaining;
 2. **CONSERVE** it instead of consuming it;
 3. **ALLOCATE** it wisely;
 4. **BEAR** the loss when it is squandered.
- ▶ **Allocation = the calculation problem** (Pareto, decades before Mises & Hayek): is capital more useful in industry A or B? **Auction** its use to whoever can pay the higher interest. “Men look after their own interests better than those of others.”
 - ▶ **Risk**: “capital is perishable; it is easily squandered.” Private ownership ties the **loss** to the decision-maker; collective ownership cuts that link.

*Honest concession: on government waste Marx is “perfectly right” — but that aids socialism only if a collective state wastes **less**, which is far from evident.*

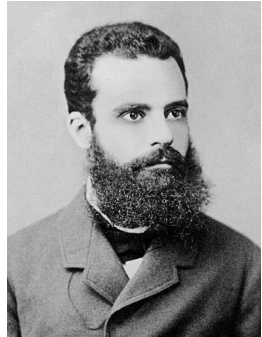
- ▶ Marx: after enough years the capitalist has “consumed” the surplus, so “not an atom” of his advanced capital remains — therefore his return was *gratuitous*.
- ▶ Pareto: this **assumes what is in question** — that 100,000 fr *today* equals ten yearly payments of 10,000 fr. A sum *now* is not the same as the sum *later*; that difference is exactly what interest prices.
- ▶ “A sum available today differs from the same sum in a few years **as much as wine differs from wheat**.”

The weaver fable (a labour-only, money-less world)

The weaver spends his savings to **wall the ploughman's field** (the rabbits gone, the same labour now yields 8 bushels, not 4) and takes an annual cut. He becomes “**a capitalist without appearing to be one**” — no money circuit, no stolen over-work — yet he sold *the use of his capital* for a rent. **Interest reappears even after you abolish the capitalist.**

- ▶ Pareto concedes his critique is “purely negative” — tearing down a theory does not say what to build.
- ▶ His constructive claim: “free competition is the necessary condition for the maximum welfare of the individual and the species” — “one of the best-established theorems of social science.”
- ▶ Reframe the whole debate: never “*are there evils?*” but “*which arrangement reaches the welfare maximum?*” To beat capitalism you must *prove* another system yields fewer evils — “this has not yet been done.”

*Honest caveat: you cannot abolish property in capital without nearly abolishing **all** property; economics must study “man as he is, not as we might fancy him.”*



*The seed of welfare economics —
“Pareto efficiency.”*

Lessons that travel far beyond Marx

1. **Steelman:** separate truth from error (scientific method), don't condemn *en bloc*.
2. **Beware the *petitio principii*:** a conclusion baked into a definition or a loaded word proves nothing.
3. **Coexistence $\neq$ causation; test against DATA:** reason on real facts, "not on facts that exist only in our imagination."

Discussion

1. The parody "proves" value comes from capital alone as easily as from labour alone. Does that refute *both* single-factor theories — or show value comes from *neither* factor by itself?
2. If real wages rose for 50 years, is Marx simply refuted — or could exploitation be real *even with* rising wages?
3. Pareto blames the **State**, not the market, for "rich richer, poor poorer." When capitalists capture the State, is that a failure *of* capitalism — and how would you test it with today's data?